The 6:15

MONDAY · OCTOBER 5, 2026 NO. 23

THE BOARD

CALENDAR · NEXT 10 DAYS

Mon 10/5, 10:00a	Sept. ISM Services PMI **(no consensus located)**
Mon 10/5	Early voting opens ME/NE/IN/NM/OH/WY/AZ (Oct 4-7); midterms 29 days out
Mon 10/5, 7:00p	Knicks preseason opener at Philadelphia
Mon 10/5, 8:00p	Yankees at Rays, ALDS Gm 2 (NYY trail 0-1), Tropicana Field
Tue 10/13	JPMorgan, Wells Fargo Q3 — bank earnings season opens
Tue 10/14, 8:30a	September CPI
Wed 10/15, 8:30a	September PPI

Standing: FOMC next meets Oct. 27-28. Dec. 11 CR funding deadline, no shutdown risk [continuity]. US-China truce to Jan. 10 [continuity]. No frontier-AI release or rocket launch confirmed this run.

METRICS · ET UNLESS NOTED

Brent / WTI	$102.75 (+0.49%) / $90.59 (-0.57%), ~6:19a **no settle yet**; spread ~$12.16, widened from $8.35 on 10/1
2Y / 10Y / 30Y	4.816% (-0.9bp) / 5.290% (+1.0bp) / 5.632% (+0.2bp), ~6:10a
DXY	101.99 (+0.26%), ~6:19a
S&P / Nasdaq fut.	7,763.50 (-0.18%) / 30,992.00 (-0.22%), ~6:06a **delayed**
VIX	16.30 (+6.47%), ~6:17a
Gold	$4,185.32 (+0.55%, Dec contract), ~6:19a
Asia / Europe	Nikkei 69,986.00 (+2.45%, closed 2:30a); Hang Seng 24,040.34 (+0.28%, closed 4:00a). FTSE 10,477.00 (+0.14%), DAX 25,184.60 (-0.18%), CAC 7,816.95 (-1.02%) — intraday, not closes
AAA gas	$4.3653/gal, as of today

CAC wire reports a 6-month low intraday. Futures marked delayed, not real-time.

HORMUZ COUNTERS

Transits	1/day Sept. 27 vs. 85/day baseline (IMF PortWatch, ~8-day lag); Kpler separately ~18/day vs. ~125/day pre-conflict
Vessels holding	220 AIS-visible, 10:17 UTC today (straits.live, 8-day range 89-285); Lloyd's List counts ~600 vessels >10,000dwt trapped fleet-wide (325 tankers) — different population
Strikes	Tanker Lipsi (~115,000dwt, Dynacom) hit Oct. 4, engine-room damage, no attribution; 4 attack reports in 72h, Oct. 2-4 (JMIC). Running total not tallied **flag**
Dark tankers	~65% of outbound laden dark (Vortexa, May est., stale); Iran dark fleet ~289 vessels, undated **flag**
War-risk premia	~$10M/VLCC transit, ~40x pre-crisis — data 27 days old (straits.live), unchanged from No. 22
Crisis Pressure	88±8, extreme, flat 24h. Escalation Forecast 58±12, elevated, flat, driven by Brent-WTI spread

Methodology: transit counts (PortWatch vs. Kpler), stranded-vessel counts (AIS same-day vs. Lloyd's List fleet-wide) and war-risk premia (periodic, stale) measure different populations over different windows and vendors; never averaged or differenced here.

TRANSACTIONS

Yankees	Lost ALDS Gm 1, 1-0, at Tampa Bay; trail 0-1. Gm 2 tonight, 8:00p, Tropicana Field
Knicks	Preseason opener tonight at Philadelphia, 7:00p; no result yet
Northwestern	Beat Penn State 34-13 Fri., Ryan Field opener; now 3-1, no game since

LEAD

JOBS VS. HORMUZ

A 29,000-job September print craters October hike odds to ~17% — but yields and the dollar barely moved, because oil is still trading off Hormuz, not payrolls

September nonfarm payrolls rose just 29,000, against a consensus near 84,000 and a trailing 12-month average near 45,000; the unemployment rate rose to 4.2% (cons. 4.1%); July and August were revised down a combined 60,000; average hourly earnings rose 0.1% m/m, 3.0% y/y. [fact, BLS/CNBC/Bloomberg] It is the weakest print of the cycle and arrived two days after Wednesday's cooler PCE — back-to-back data points pointing the same direction.

The market reaction was immediate and large, for the second time in a week. CME FedWatch's probability of a quarter-point hike at the Oct. 27-28 meeting fell to roughly 17%, from about 36% a week earlier; Kalshi's October-hike contract fell to about 18%, from near 70% a week earlier. [fact] That's on top of Tuesday's move already reported in issue No. 22 (CME ~35%, Kalshi/Polymarket 33%-39%) — odds have now roughly halved again in three trading days. New York Fed President John Williams said there was "no need for urgency"; Vice Chair Philip Jefferson said policymakers may need more time before their next move. [fact] Traders are still pricing a December hike as the more likely vehicle, though this run didn't reconfirm a specific December probability. [flag]

Crude didn't follow the dovish turn. Brent $102.75 / WTI $90.59 as of ~6:20a, little changed on net but the Brent-WTI spread has widened to roughly $12.16 from $8.35 on Oct. 1 [flag, no settle yet] — because Hormuz has had its worst four-day stretch of the crisis: UKMTO logged a fourth distinct attack report in four calendar days, the Liberian-flagged tanker Lipsi hit by an unidentified projectile Saturday, on top of a drone that dropped into another tanker's engine room Oct. 3 and a blackout-inducing strike Oct. 2. [NEW, fact — detail below in Iran & Hormuz]

Mechanism: a genuinely dovish jobs print with hike odds cut in half should pull yields and the dollar down hard. Instead the 10-year is up a touch to 5.290% (+1.0bp), the 30-year flat at 5.632%, and DXY firmed slightly to 101.99 (+0.26%) — the same disconnect flagged in issue No. 22, now sharper: rates markets are pricing Fed policy off the labor data, while the crude complex (and, via the widening Brent-WTI spread, an import-cost channel that feeds back into headline inflation) is pricing off the Gulf. Two different markets, two different data sets, moving in opposite directions on the same morning. [read]

Stakes: a Fed that now has real cover to hold on Oct. 27-28 even without further cooling — but an energy-import channel that could reassert inflation pressure into the Oct. 14 CPI and Oct. 15 PPI prints if Hormuz strikes keep compounding, a risk sharpened by Saturday's suspected-terrorism arrests near RAF Fairford, the UK base from which US B-1Bs have run strikes on Iran for seven months (detail below). Bank earnings season opens Oct. 13 with JPMorgan and Wells Fargo — the first read on whether credit quality is cracking anywhere beneath a labor market that just posted its weakest print of the cycle. Lower-stakes but inside the same 24 hours: the Yankees, down 0-1 in the ALDS, play an elimination-adjacent Game 2 tonight, and the Knicks open their preseason.

Worth sitting with the asymmetry here: a 29,000-job miss of this size would, in a normal cycle, be read as unambiguously dovish and tradeable across every asset class at once. It wasn't. Equity futures are down, not up, on a report that cut hike odds in half — S&P futures -0.18%, Nasdaq 100 futures -0.22% — which suggests futures desks are weighting the growth-scare read (weak hiring, revised-down prior months, rising unemployment) more heavily than

the rate-relief read. That's a different signal than a market cheering a Fed pause; it's closer to one quietly repricing the soft-landing narrative itself, three weeks before CPI gets a chance to confirm or deny it.

For a portfolio sitting on both rate-sensitive and energy exposure, the split read matters: a genuine dovish pivot would normally argue for extending duration and trimming energy beta at the same time, but a Hormuz-driven crude bid flattens that trade — duration still benefits from a Fed on hold, while energy keeps a geopolitical put under it that has nothing to do with the Fed. The cleaner read this morning is two separate, partially offsetting bets rather than one consensus "risk-on" or "risk-off" call. [read]

POLITICS

Early voting opened over the weekend in Maine, Nebraska, Indiana, New Mexico, Ohio, Wyoming and Arizona, joining Virginia, Minnesota and South Dakota, which opened mid-September; the Nov. 3 midterms are now 29 days out. [NEW, fact] Two polls landed inside this window: an AP-NORC survey put Trump's approval on handling the economy at 26%, with just 17% approving his handling of cost-of-living and 65% of adults saying his own policies, not outside factors, are more responsible for persistently high prices; a separate FT/Focaldata poll (Sept.) had his overall approval at 33% among registered voters. [NEW, fact, two independent pollsters] Dispatches frame the campaign around that economic squeeze alongside the Iran war, with Michigan (El-Sayed vs. Trump-endorsed Rogers) and Texas (Talarico vs. Paxton) cited as marquee contested races. [read] No new Houthi-Saudi exchange confirmed

since Sept. 26; the Makkah Joint Defense Agreement framing stands [continuity] and is cut from today's Geopolitics section as unmoved.

ECONOMICS

OPEC+'s seven-country JMMC (Saudi Arabia, Russia, Iraq, Kuwait, Kazakhstan, Algeria, Oman) met Oct. 4 and kept November production targets unchanged from current levels; next meeting Nov. 1. [fact, OPEC.org/CNBC/Bloomberg/TASS] Gulf producers continue pumping below quota amid export disruptions tied to the broader US-Israeli campaign against Iran, with exports fluctuating 60%-80% of normal. [fact/read] Today's ISM Services print (10a) is this week's only scheduled US data point before Oct. 14 CPI; no reliable consensus located this run, so no comparison will be offered until the number itself is confirmed [flag]. The 2s/10s curve (4.816%/5.290%, a roughly 47bp spread) remains inverted at the short end relative to the 30-year, a shape that has persisted through both Tuesday's PCE surprise and today's payrolls miss without steepening — rates markets are not yet treating either print as decisive. Bank earnings Oct. 13 (JPM, WFC) are the first scheduled read on whether credit quality is cracking anywhere beneath a labor market that just logged its weakest print of the cycle.

The wage line in Friday's report deserves its own note: average hourly earnings rose just 0.1% m/m to $37.81, 3.0% y/y — real wage growth is now running close to flat against a CPI trend that was, as of August, still printing above 3% y/y. [fact] That combination — weak hiring, slowing wage growth, and an energy-import channel still pushing the other way on headline prices — is a harder macro picture for the Fed to manage with a single rate path

than either a clean growth scare or a clean inflation scare would be on its own. [read]

BUSINESS

Nike's fiscal Q1 2027 results (released Thursday after close): revenue $11.2B, down 4% reported / 5% currency-neutral; Nike Brand revenue $11.0B (-4%); Nike Direct $4.1B, down 8%-9% across channels; diluted EPS $0.48, down from $0.49 a year ago but ahead of the $0.44-0.45 consensus cited in issue No. 22; gross margin 42.8%, +60bp y/y; net income $712M, -2%. [fact, SEC 8-K/Nike IR] Greater China revenue fell 22% in the quarter — a region that's roughly 15% of annual sales — and shares fell toward a 12-year low on the print despite the EPS beat. [NEW, fact] CEO Elliott Hill: "We have more work to do in Nike Sportswear, Jordan Brand and Greater China, and we're taking deliberate actions to strengthen those businesses the right way for the long term." [fact, quote] Guidance: FY2027 revenue to decline high-single-digits; adjusted diluted EPS $1.15-$1.35. The "Pace" restructuring plan totals ~$1.3B in charges through FY2031 against a targeted $2.5B in cumulative savings. A weaker consumer read that the market is pricing as a China-and-margin story more than a tariff story today.

GEOPOLITICS

Russia launched roughly 50 missiles and 500 drones at Ukraine overnight into Monday, targeting energy infrastructure and leaving thousands without power; Zelensky said five people were killed — four members of one family in Lviv, one in Zaporizhzhia — and called for "more protection and faster implementation of all defense agreements, especially on air defense." [NEW, fact, Zelensky/regional officials] Zaporizhzhia region head Maksym Kozytskyi said the area hasn't seen a blitz this size since the 2022 invasion began. [NEW, fact] Lviv, Zaporizhzhia, Kharkiv, Kherson, Odesa and Sumy regions were all hit; drone/missile tallies vary modestly by outlet but cluster around the 50-missile, 500-drone figure. [flag, minor cross-source variance] For scale: NATO's Secretary General and the European Commission president said in early September, after a smaller drone incursion into Germany, that the alliance would "increase," not just maintain, pressure on Moscow — a standing posture this run found no fresh October statement updating [continuity, flag].

IRAN & HORMUZ

UKMTO logged its fourth distinct attack report in four calendar days: the Liberian-flagged Aframax/LR2 tanker Lipsi (~115,000dwt, managed by Dynacom) was struck by an unidentified projectile Saturday, taking engine-room damage; crew safe, no attribution. [NEW, fact] That follows an Oct. 3 strike in which a master reported a drone entered a different inbound tanker's funnel and dropped into the engine room (small fire, brief power loss), and an Oct. 2 strike that caused a blackout on an outbound tanker before the fire was put

out. The US-led Joint Maritime Information Center has now counted up to four attack reports across that 72-hour window. [NEW, fact]

Separately, UK police arrested and later bailed five British men in their 20s near RAF Fairford — the UK base that has hosted roughly a dozen US B-1B Lancer bombers for seven months of strikes on Iran — on suspicion of terrorism and explosives offenses; investigators are examining possible Iran, Russia or non-state links, with police reportedly leaning toward Iran as the likely state actor, unconfirmed. [NEW, fact] CNBC reported the US bomber contingent has since left the base; that relocation claim rests on a single outlet this run [flag]. One further-removed analysis (National Security Journal) reads the administration's posture as deliberate patience — maintaining the naval blockade to drain Iran's economy rather than escalating before the midterms — which is interpretation, not confirmed policy. [read, single-sourced]

On diplomacy: Qatar has put forward its own two-page bridging proposal, distinct from the US counter-proposal Tehran received Wednesday (issue No. 22), aimed at reconciling Iran's demand to lift the US naval blockade with Washington's demand for nuclear concessions. Talks are described by sources close to them as "stuck" — one characterization: "the Iranians are asking for things the U.S. can't accept and the U.S. thinks it is winning so there is no need for compromise." [NEW, read, single-sourced characterization] Some US officials are said to see the deepening stalemate as raising the odds Trump orders a return to major combat operations once the midterms are past — again, a characterization of official sentiment rather than a confirmed decision, and distinct from the separate "patience" read above; the two accounts of administration thinking

are not reconciled here, only reported side by side. [read, single-sourced]

Taken together, the week's Hormuz news is one of intensifying low-grade attrition rather than a single decisive escalation: four attack reports in four days, a terrorism scare that appears to have moved US bomber assets off a forward UK base, and two competing, unreconciled diplomatic tracks (Washington's counter-proposal, Doha's bridging text) running in parallel without a public Iranian response to either as of this morning. Transit, vessel-holding, dark-fleet and war-risk figures are in the Board above, per the usual methodology caveats.

SPORTS

Yankees	Lost ALDS Gm 1, 1-0, at Tampa Bay; trail series 0-1. Gm 2 tonight, 8:00p ET, Tropicana Field.
Knicks	No game yet; preseason opener tonight at Philadelphia, 7:00p ET.
Northwestern	3-1, beat Penn State 34-13 Fri. in Ryan Field's opener; no game since.

Continuity. Cut from issue No. 22 as unmoved: Houthi-Saudi (no new exchange since Sept. 26) and the broad frontier-AI/rocket-launch sub-bullet. Carried without refresh: war-risk premia (still ~$10M/transit, 27 days stale), dark-tanker share (Vortexa's May estimate). Not sourced this run: December Fed-hike probability, cumulative Hormuz strike count since the crisis began, today's ISM Services consensus. Watch for next issue: tonight's ALDS Gm 2 and Knicks preseason results; Ukraine casualty figures firming up; a second source on the RAF Fairford bomber-relocation claim; any Qatar-proposal response from Tehran.

Unverified figures are marked in red. No Brent/WTI settle this morning; S&P/Nasdaq futures delayed; December Fed-hike probability, cumulative Hormuz strike count, and today's ISM Services consensus not located this run; Ukraine casualty tallies and the RAF Fairford bomber-relocation claim are single-sourced; dark-tanker share, Iran dark-fleet count and straits.live's war-risk premium data are all stale. Nothing was estimated or filled from memory.